The Federal Open Market Committee (FOMC)

Monetary policy involves changes to interest rates and credit conditions, affecting the amount of borrowing and spending in a economy. **Interest rates are the single most important factor in trading the Foreign Exchange Market.** Central Banks use 3 tools to execute monetary policy. **Open market operations** is the most commonly used tool, which involves buying and selling government bonds with banks to increase or decrease the amount of money in circulation; **discount rates**, which is the interest rate charged by the central bank on the loans that it provides to commercial banks; and **reserve requirements**, which determine the level of reserves a bank is legally required to hold that affects their ability to lend money. **Basically, the main purpose of a central bank is to keep the economy growing and keep its inflation low.** In addition, there are two types of monetary policy; *an expansionary (or loose) monetary policy* which is viewed as "hawkish" or "bullish" to traders/investors because it signals potential economic growth and *a contractionary (or tight) monetary policy* which is viewed as "dovish" or "bearish" to traders/investors because it can signal a potential economic slowdown. Now, a loose policy raises the quantity of money and credit above what it would have been and decreases interest rates increasing aggregate demand, therefore preventing a recession. On the other hand, a tight policy reduces the amount of money and credit below what it would've been and raises interest rates keeping inflation low. Overall, the central bank's primary role is to use monetary policy to promote economic stability and growth while maintaining low inflation.

Federal Reserve: https://www.federalreserve.gov...
The Bank of England: https://www.bankofengland.co.u...
The European Central Bank: https://www.ecb.europa.eu/stat...
The Reserve Bank of Australia: https://www.rba.gov.au/monetar...